

LIVE MUSIC. THROBBING strobe lights. A room full of people of all ages, shapes, and sizes in Harley-Davidson gear. Everybody grooving to the music being belted out by a live band. And enjoying their drinks. You'd be excused if you mistook it for a bikers' meet or a private concert.

But it was neither of those things. Instead, it was the launch of a new Harley-Davidson bike in India, which marks the coming together of India's largest two-wheeler maker Hero MotoCorp and the iconic American bike brand. On display was a glimpse of the rugged bikers' lifestyle that Harley-Davidson is known for, and hopes to market in India as well.

But the lifestyle that Harley-Hero seem to be counting on is not new. Starting with the first imports of Royal Enfield motorcycles in the 1950s for the Indian Army, the love Indian bike enthusiasts have for heavy bikes—that fall in the premium category—has only grown with

“This move will elevate the premium imagery for the Hero MotoCorp brand and help expand the mid-size motorcycle segment... Harley is the most established brand and player in premium motorcycles. It is the first time Harley is coming into this segment, with 440cc, in India,” said Pawan Munjal, Executive Chairman of Hero MotoCorp at the launch event held on July 4 at the company's Centre of Innovation and Technology in Jaipur. “There are thousands of customers out there who would want to buy a Harley-Davidson, but it was so far out of their reach.”

Munjal is not off the mark. While heavy, premium bikes have always had a fan following in India, they had largely become confined to a few outdated models from Royal Enfield till the 2000s. And Harley and Triumph bikes were too expensive to attract a mass following. All that changed when Royal Enfield started updating its portfolio with new launches at attractive price points. It also made lifestyle the USP of Royal Enfield bikes.

Playing on this strategy has worked for the company. Today it is the largest premium bikes maker in the

OF THE 18 PER CENT PREMIUM BIKES—THAT OFFER HIGHER MARGINS PER BIKE—SOLD IN INDIA IN FY23, CLOSE TO 40 PER CENT WERE ROYAL ENFIELD BIKES

time. And that love has birthed a new race in the bustling roads and highways of India, a race to upgrade to premium, heavy bikes. Consequently, two-wheeler makers are revving up to impress today's discerning riders with new offerings. But first, a little background.

India's two-wheeler market is largely dominated by entry-level (76-100cc) bikes at 51 per cent market share in FY23, and commuter (110-150cc) bikes at 30 per cent. The premium segment—that comprises bikes above 150cc—accounted for 18 per cent in the same period. But five years ago, premium bike sales accounted for just 14 per cent, while entry and commuter bikes accounted for 59 and 26 per cent, respectively. Further, of the 18 per cent premium bikes sold in India in FY23, close to 40 per cent were Royal Enfield bikes.

And this is what is enticing global motorcycle makers to enter the fast-growing premium bikes segment in India—in partnership with Indian companies—and challenge the dominance of Royal Enfield. And that is why there were two big-ticket launches in just one week in July. Hero launched the Harley-Davidson X440, while Bajaj unveiled the Speed 400 and Scrambler 400 X—developed in collaboration with the UK-based Triumph Motorcycles.

country. And that's the reason Indian mass-market two-wheeler makers are forging partnerships with global motorcycle players to enter the premium segment. “It's a high-margin product. The volumes in the 350cc-plus segments are not very significant. Entry level motorcycles are more or less 50 per cent of total motorcycle sales. And commuter is another 25-26 per cent. So only the remaining 20 per cent is the premium strata,” says Aditya Welekar, Senior Research Analyst at Axis Securities. Royal Enfield declined to participate in this story.

THE RIDE AHEAD

Premium bikes offer higher margins per bike. But will brand value and an aspirational lifestyle be enough to help Indian players grab a slice of the pie? It's not just these two aspects the players are relying on. The strategy is multi-pronged. For instance, when the Harley-Hero partnership was announced, Hero had said that it will also develop a bike under its own banner loosely based on the same platform. At the launch event, Munjal said the bike will be unveiled in Q4FY24. “Both Hero and Harley products will be different in character, features, sound, performance and body type, and will cater